Marlow Tax & Advisory Ltd
Financial and Tax Due Diligence Report — Project Falcon

Prepared for: Westbridge Growth Capital LLP (Lead Investor)

Target: Penrose Robotics Limited

Date: 8 May 2026 · Strictly private and confidential

1. Executive summary

This report summarises our financial and tax due diligence on Penrose Robotics Limited in connection with the proposed Series B subscription of £14,000,000. Our work was based on the audited accounts to 31 December 2025, management accounts to 31 March 2026, and management interviews.

Overall, the Company's reported revenue and recurring software revenue are consistent with the data room. We identified no fundamental issues that would prevent the transaction, subject to the matters in section 4.

2. Trading and revenue

- FY2025 revenue of £9.8m (FY2024: £6.1m), of which £3.4m is recurring intralogistics software subscription revenue.
- Gross margin of 41%, improving as the software mix increases; hardware margin remains pressured by drive-motor input costs.
- Order book at 31 March 2026 of £14.2m, with the largest customer representing 19% of revenue.

3. Balance sheet and net debt

- Net cash of £2.1m at 31 March 2026 before the proposed raise.
- Drawn venture loan of £1.2m (facility £2.0m) repayable over 36 months; covenants currently satisfied.
- Trade debtors of £2.6m, including one balance of £0.18m more than 90 days overdue (payment plan agreed).

4. Key findings and adjustments

- Capitalised development costs of £0.9m; we consider the policy reasonable but note sensitivity to the amortisation period.
- R&D tax credit claims for FY2024 and FY2025 appear robust; FY2025 claim of £0.42m not yet received.
- A supplier price increase of 6% on drive motors will modestly compress FY2026 hardware margin.

5. Tax

- The Company is UK tax resident only; no overseas permanent establishment identified.
- PAYE and VAT compliance up to date; no open enquiries.
- EMI option scheme in place; the enlarged pool should be reviewed against EMI limits on grant.

This report is subject to the limitations and scope set out in our engagement letter and is provided for the sole benefit of the addressee.